

AS level economics

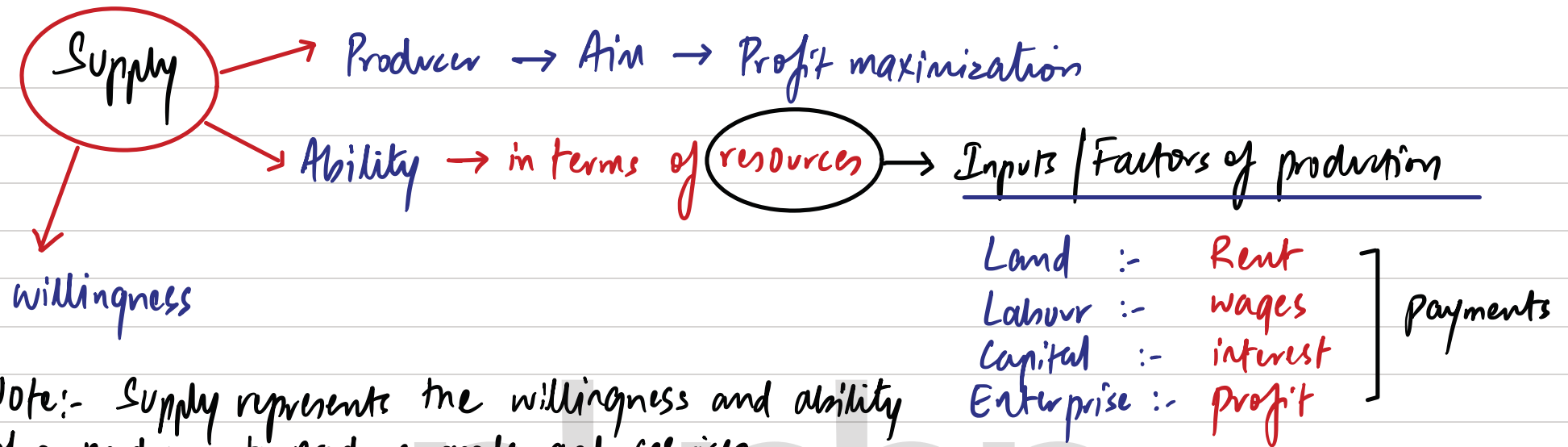
clip: Demand and Supply

Topic:- Introduction to Supply

alpha

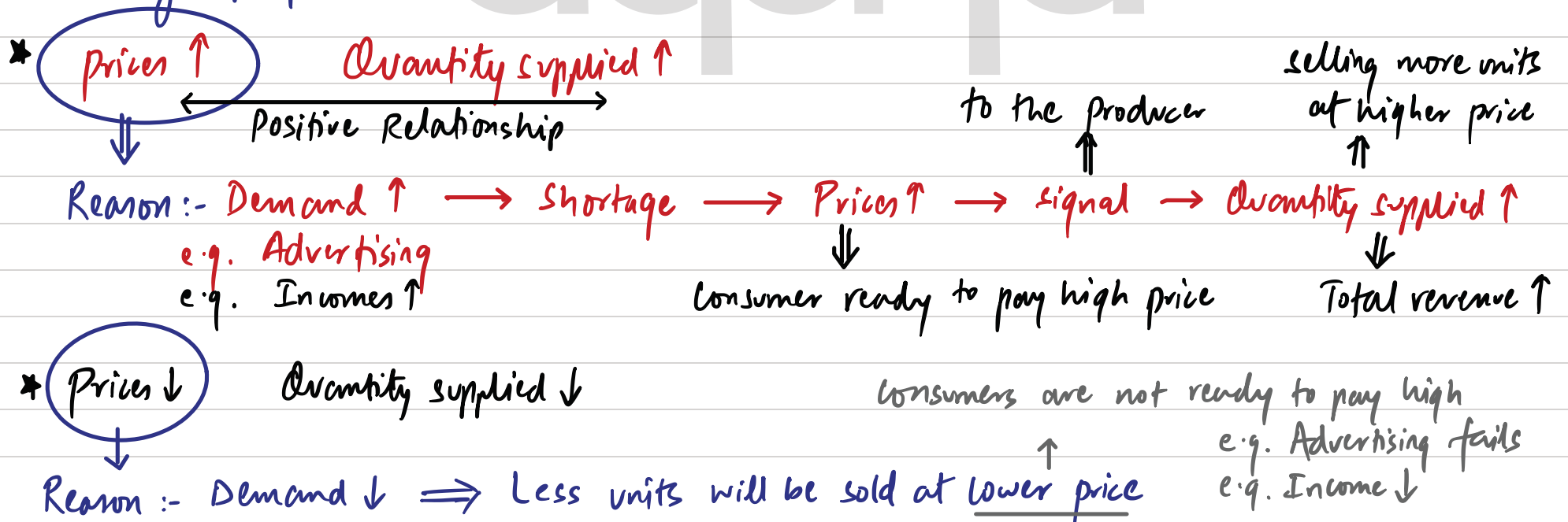
Zarak
Mustaq





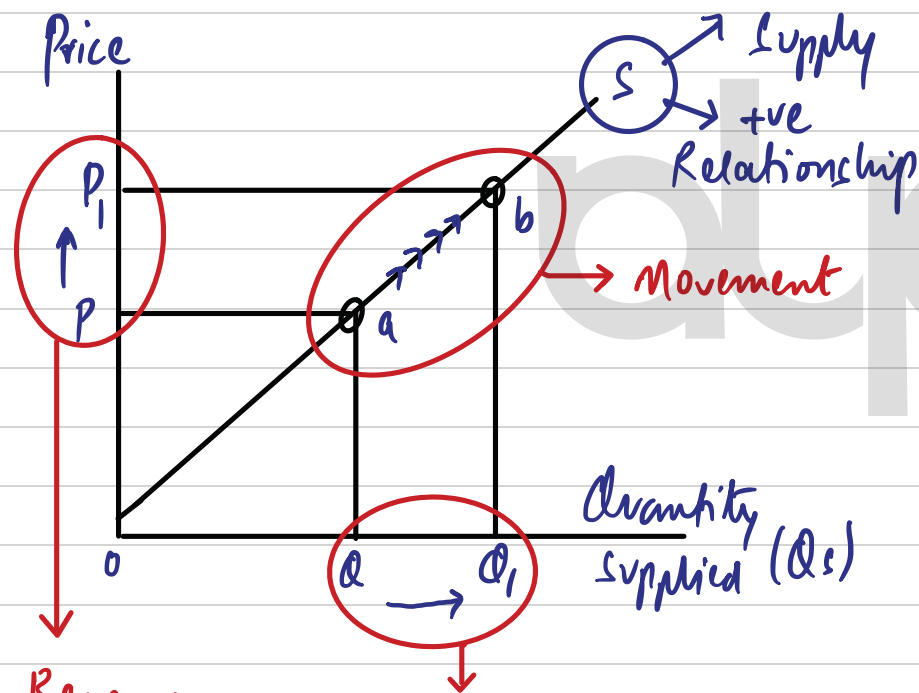
Note:- Supply represents the willingness and ability of a producer to produce goods and services.

Law of supply



Note:- Law of Supply states that there is a positive relationship between price and quantity supplied. An increase in price extends quantity supplied and a decrease in price contracts quantity supplied.

Diagram (Supply curve)



Reason:-

Demand ↑

Shortage

Price ↑ (Signal)

QS ↑

Extension

Old TR :- $OPaQ$
 New TR :- OP_1bQ_1 TR ↑

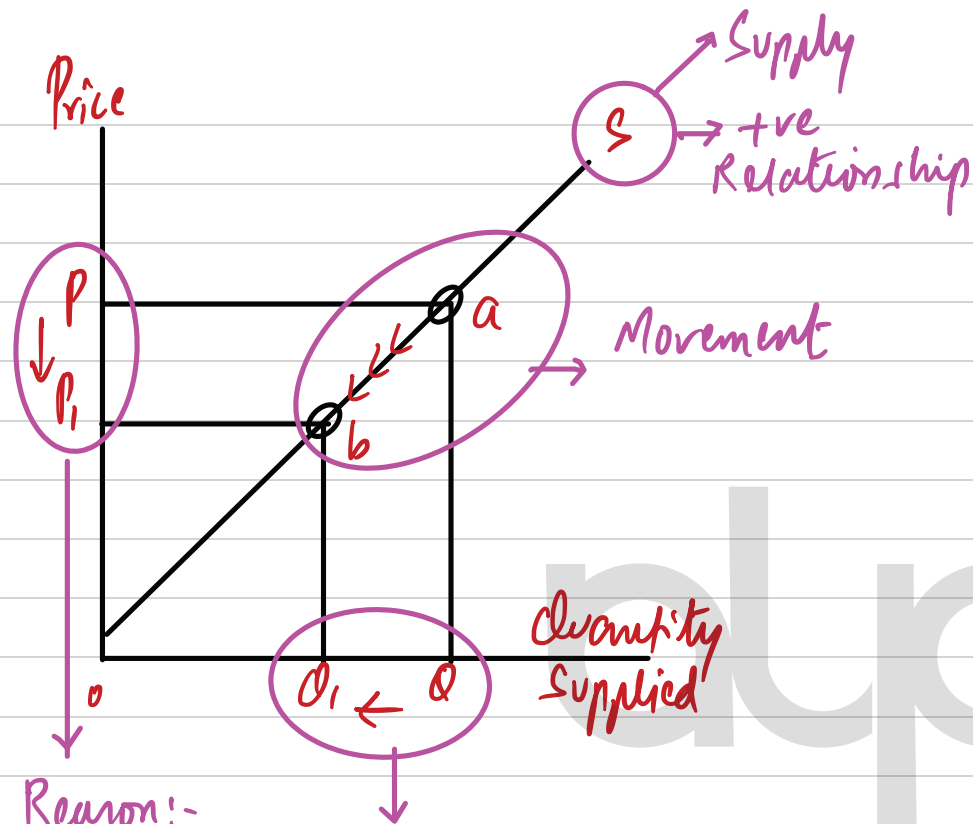
Note:- An increase in price from P to P_1 due to increase in demand, which creates shortage, providing signal to the producer to extend quantity supplied from Q to Q_1 , causing movement along the supply curve from point a to b .

Steps:-

- | | |
|----------------------|-----------|
| 1) Price | $P - P_1$ |
| 2) Quantity supplied | $Q - Q_1$ |
| 3) Movement | $a - b$ |

Adam Smith presented theory of invisible hand while explaining law of Supply.

Demand is invisible hand



Reason:-

Demand ↓

Surplus

Prices ↓

Qs ↓

TR ↓

Old TR :- OP_aQ

New TR :- OP_1bQ_1

TR ↓

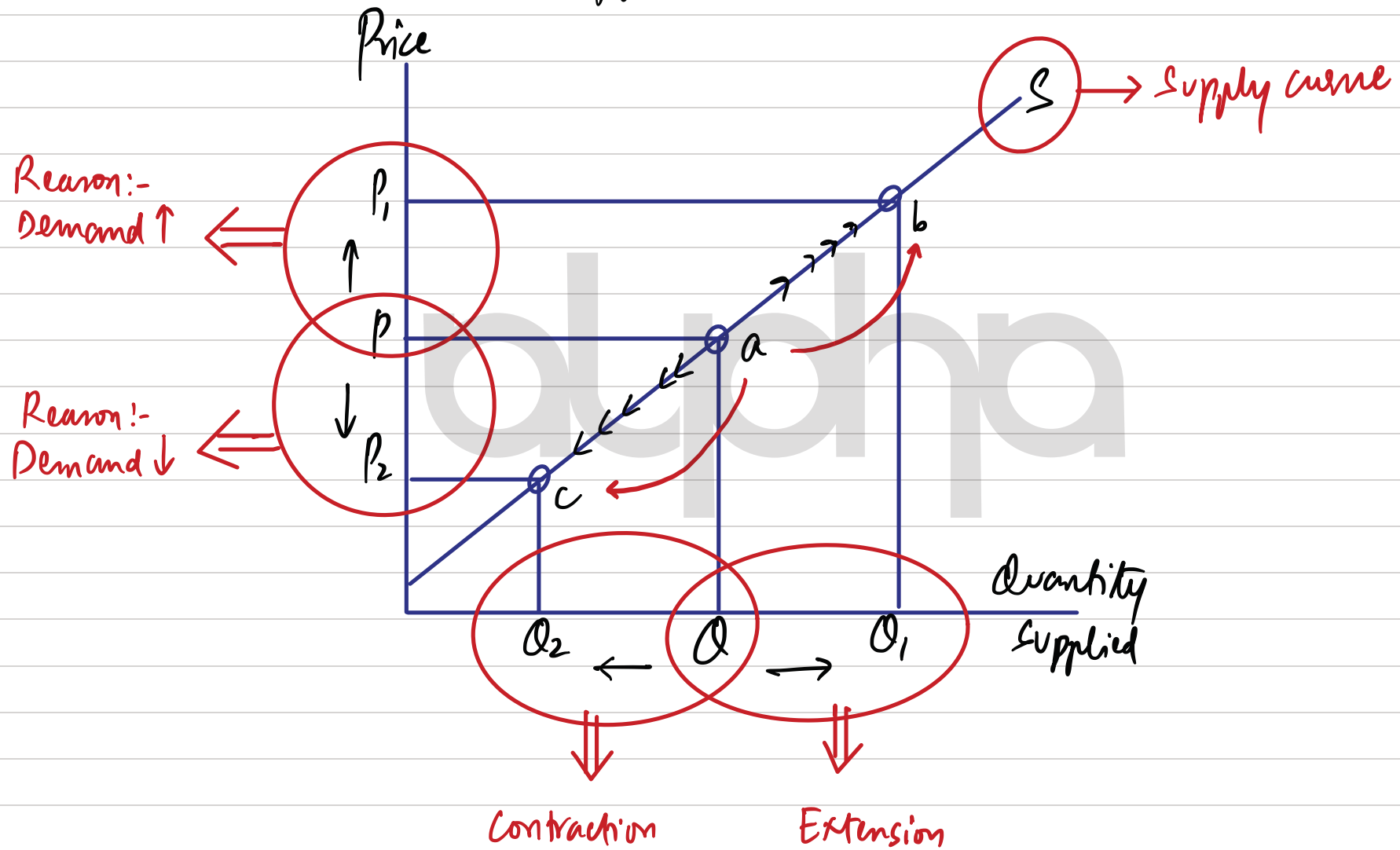
Contraction

Note:- A decrease in price from P to P_1 due to decrease in demand creates surplus, which provides signal to the producer to contract quantity supplied from Q to Q_1 , and thus resulting in movement along the supply curve from point a to b .

Steps:-

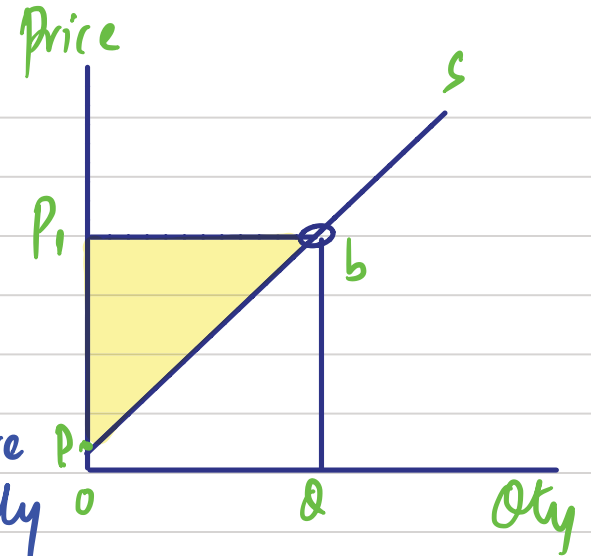
- 1) Price $P - P_1$
- 2) Quantity supplied $Q - Q_1$
- 3) Movement $a - b$

Changes in price affects quantity supplied



Producer Surplus:

It is a similar concept to consumer surplus. The difference is that we are now dealing with the supply curve. This supply curve shows that producers have different prices at which they are willing to supply products to the market. In general, producers are keen to supply consumers who are willing to pay a price above that which they would normally be prepared to accept.



Referring to air fares, suppose the base line price for a return flight from Manchester to Islamabad is \$588. This is the average fare and from the airline's perspective, it is the minimum that is prepared to accept. There will always be passengers who are willing to pay above this price; they are likely to be those who have left it late to book or who have urgent business in Pakistan. These customers provide additional revenue to the airline over and above that for the base line price. This additional revenue is called producer surplus.

The extent of producer surplus is shown by the shaded area in the diagram. It is the area above the supply curve but below the price line P_1 . Anything

the firm sells below P_1 is because it is willing to sell to consumers at a discounted price. There is a price P below which the producer is unwilling to supply anything since the cost of production would not be covered.

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Questions

Marks: 22

- Q1 Define supply? 2
- Q2 Explain law of supply? 4
- Q3 Using a diagram, explain the effect of increase in price on quantity supplied? 6
- Q4 Using a diagram, explain the effect of decrease in price on quantity supplied? 6
- Q5 Using a diagram, explain the concept of producer surplus? 6